

SaaS: Panacea or Predicament

SaaS: Panacea or Predicament

- What is it?
- Who's providing it?
- SaaS in the Enterprise
- Is it for me?
- How do I get started?

SaaS

- “Software deployed as a hosted service and accessed over the internet”
- “IT as a Utility”
- First deployed in 1998-1999

Saas

- Types of deployments
 - Provider = Host
 - Provider sells software to host
- Key Characteristics
 - Network based
 - Activities managed at central locations
 - Delivery is in a one-to-many
 - Utilizes centralized feature updating

ASP

- “Application Service Provider”
- What's the difference
 - ASP is typically in-house software that is hosted and accessed remotely
 - SaaS is typically designed from the beginning with web hosting and multi-tenant deployment in mind.

Why me?

- We use SaaS
 - USBank Online Credit Card Accounting
 - Learning Management System (learn.com)
 - Postini
 - WebEx
 - BeneFlex (Sec. 125 administration)
 - Ethicspoint
 - Constant Contact

Why me?

- We deliver SaaS
 - IVUE Software hosting (ASP)
 - Disaster Recovery Service (SaaS)
 - Payment Gateway (SaaS)
 - Engineering FUSE Service (Modified SaaS)
 - IVR (Summer, 2009) (SaaS)

Everybody's doin' it....

- “customer adoption has nearly doubled over the past year, jumping from 32% in 2007 to 63% in 2008”**
- “SaaS market will grow from 5% in 2005 to accounting for 30% of new business software revenues by 2011”***

** SaaS-showplace.com ***Gartner, 2006

Everybody's doin' it....

- “80 % of organizations using SaaS are:
 1. Satisfied
 2. Planning on expanding SaaS deployments
 3. Would recommend SaaS services to others”***

***Gartner, 2006

Examples....

- salesforce.com
 - 30,000 customers
 - 50-75% growth annually
- Google Apps
- Microsoft Office Hosted
- TurboTax
- Logitech Remote Control

Examples....

- Remote backup services
 - Servers
 - Iron Mountain
 - Symantec
 - Desktops
 - Windows LiveCare
 - Dell
- AMR
- EMC Storage on Demand
- Intuit (Quicken)

Examples....

- IT administrative apps
 - WebRoot
 - Hosted mail
 - Websense
 - Klir – network Monitoring
 - Secureworks
- ConstantContact

Not all SaaS is equal....

- SaaS deployments are categorized into 1 of 4 levels of maturity
 1. Ad-Hoc/Custom
 2. Configurable
 3. Configurable, Multi-Tenant
 4. Scalable, Configurable, Multi-Tenant

Not all SaaS is equal....

- Maturity Model #1 - Ad-Hoc/Custom
 - Each customer has their own customized version of code and is run in their own instance on provider's hardware
 - Basically, ASP model
 - Least amount of application development
 - Savings include consolidation of hardware and administration

Not all SaaS is equal....

- Maturity Model #2 - Configurable
 - Shared code with configurable options instead of application customization.
 - Each customer runs in their own instance of the software service
 - Doesn't require custom code as MM1 did
 - Single deployment of software increases stability

Not all SaaS is equal....

- Maturity Model #3 - Configurable, Multi-Tenant
 - Single instance of code and application
 - Significantly less hardware required than MM1 and MM2
 - Increased stability because all code is tested together
 - Upgrades and patches may be easier

Not all SaaS is equal....

- Maturity Model #4 - Scalable, Configurable, Multi-Tenant
 - Single instance of code and application
 - All software is deployed across multiple physical hardware instances
 - Performance is enhanced because of load balancing
 - Scalability is increase with the ease of hardware additions
 - Increased stability because of equipment redundancy
 - Rapid expansion may be accomplished by just adding hardware

Drivers

- Software is changing from custom to parametric
- Security is possible
- Bandwidth is available
 - Moore's law applies here, too
- The Web is reliable and redundant

Why are vendors moving there?

- Recurring revenue
- Faster sales cycle
- Lower support costs
- Less development
 - Simpler software distribution model
 - Fewer platforms for support
- Can target specific markets easier

Why are users moving there?

- Lower up-front costs
- Less software maintenance (labor)
 - Updates
 - Testing
- Eliminates hardware maintenance
 - Equipment
 - HVAC
 - Rackspace

Why are users moving there?

- Computing has become a commodity
 - In the past, mainframes & computer power was a strategic advantage
 - Now applications are the strategic advantage

Why are users moving there?

- IT resources are hard to find
 - Insourcing requires long-term expense
 - Wages
 - Benefits
 - Office space
 - Outsourcing is fading
 - Geographic issues
 - Language barriers

SaaS in the Enterprise

- Benefits
 - Lower cost to enter – no long-term commitments
 - Lower long-term costs
 - 60-80% of IT time and budget spend on IT administration and support

SaaS in the Enterprise

- Benefits

- Costs are more stable over time
- Risks are less, and easier to identify

“Predictable level of service at a predictable cost with minimal risk”

SaaS in the Enterprise

- Benefits
 - Allows for alternate IT focus
 - Traditional Model
 - Patching
 - Testing
 - Monitoring
 - Backups
 - Security
 - Application Administration

SaaS in the Enterprise

- Benefits
 - Allows for alternate IT focus
 - SaaS Model
 - Application Administration
 - IT Strategist
 - » Workflow streamlining
 - » Feature utilization

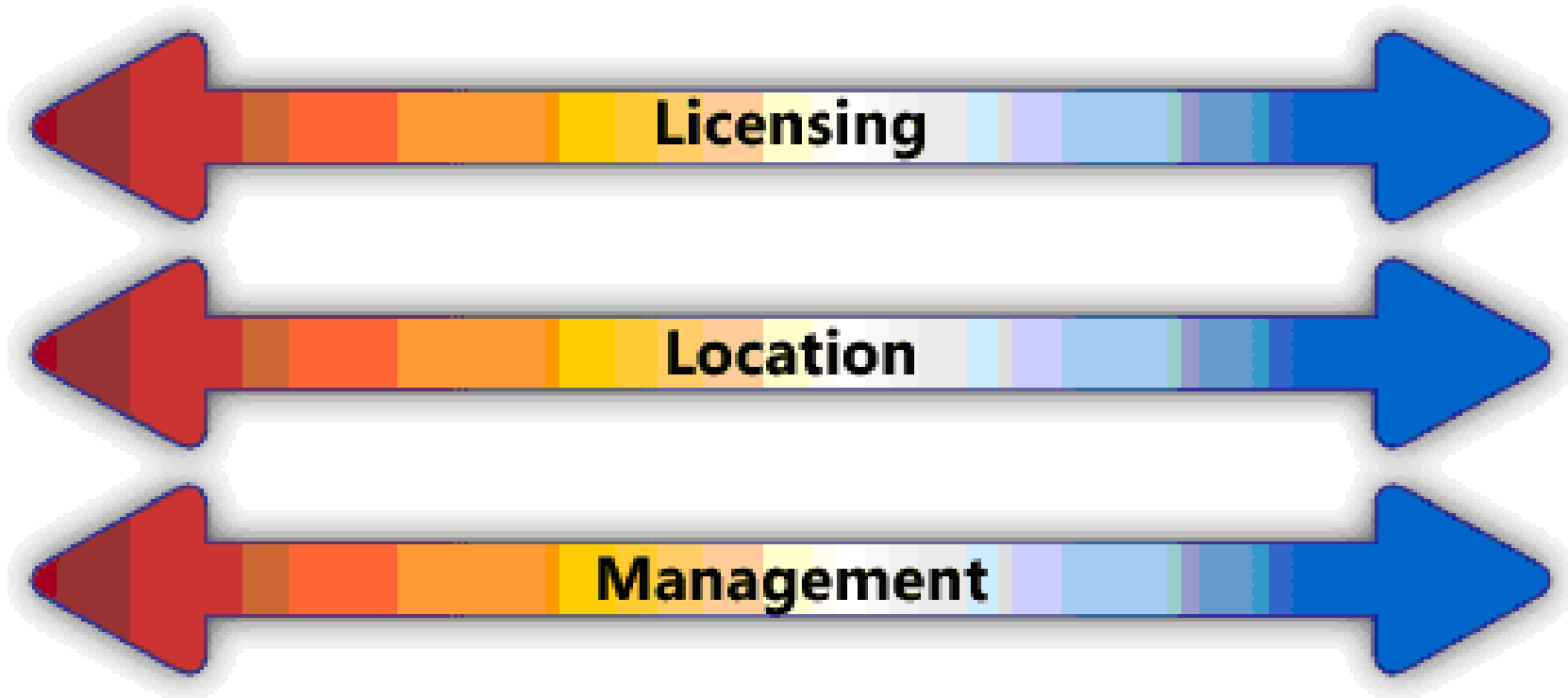
SaaS in the Enterprise

- Benefits
 - You are renting IT specialists
 - DBA's
 - Security
 - Hardware and infrastructure
 - Network and connectivity

SaaS in the Enterprise

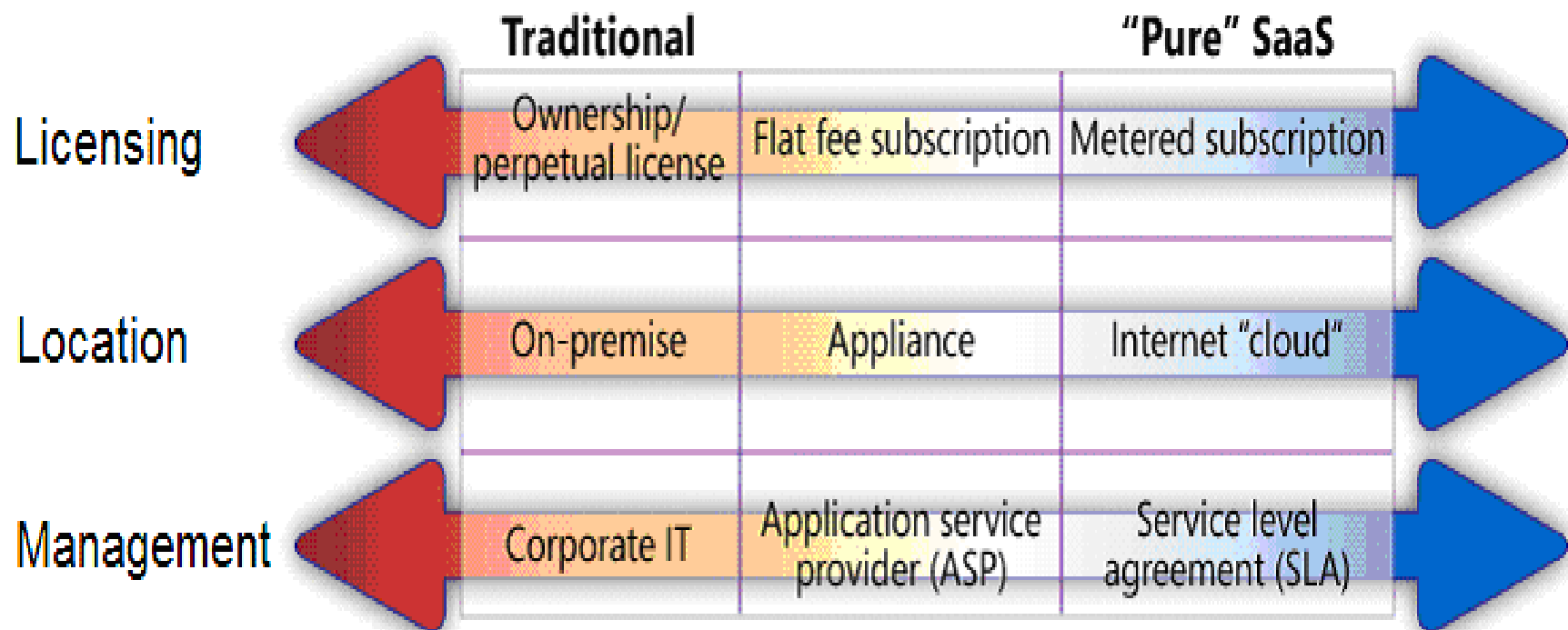
- It's not all or nothing....
 - 3 factors to consider
 - How it is licensed
 - Up-front with maintenance
 - Per user per month
 - Usage-based
 - Where it is located
 - Hosted
 - In-house appliance
 - How it is managed
 - Host-administered
 - Coop-administered

SaaS in the Enterprise



Software as a Service: An Enterprise Perspective - microsoft.com

SaaS in the Enterprise



Software as a Service: An Enterprise Perspective - microsoft.com

SaaS in the Enterprise

- Considerations
 - Political
 - Technical
 - Connectivity
 - Latency
 - Deployment method
 - Integration factors

SaaS in the Enterprise

- Considerations
 - Financial
 - Up front vs. pay as you go
 - Total cost of ownership
 - Equipment
 - » Up front
 - » Maintenance
 - HVAC
 - Rackspace
 - 3rd party licenses
 - » Up front
 - » Annual maintenance
 - Administrative time

SaaS in the Enterprise

- Considerations
 - Timing
 - Equipment refresh
 - Don't forget about exclude current sunk costs in evaluating price
 - Software version changeouts
 - Keep the end goal in mind
 - What is the future role of IT
 - What are the future resource allocations for IT going to look like

Evaluating Vendors

- Data and physical security model
- SLA
 - Performance
 - Availability
 - Backups and retention
- Integration requirements and availability
 - Request examples
- Reporting

Evaluating Vendors

- Migration strategies
 - Vendor's plan and experience
 - Talk to references
 - Exit strategies
 - Conversion resources
 - Available on-site if needed?
- Support structure

Evaluating Vendors

- Other factors
 - Compliance
 - Regulatory
 - SAS70
 - SOX
 - Security
 - Can it fit with our policy and philosophy
- Bottom line – you must trust the Vendor!!!

Why it works

- Typically have limited IT staff
 - Can focus more on application utilization and integration
 - Takes equipment maintenance out of the equation
 - 4 hr response can be difficult in rural areas
 - Reduces up-front costs
 - Reduces implementation times

Challenges

- Connectivity
 - Availability
 - Redundancy
 - Latency
- Integration

Next Steps

- Open discussion